

TED (15) :5142Reg No.....

(Revision - 2015)

Signature.....

MODEL QUESTION PAPER

DIPLOMA EXAMINATION IN COMMERCIAL PRACTICE

COST ACCOUNTING

(Time: 3 hours)

(Maximum marks: 100)

PART: A

(Maximum Mark: 10)

I. Answer all questions in one or two sentences. Each question carries two marks.

1. State the meaning of cost accounting.
2. Name four enterprises in which unit costing can be conveniently applied.
3. Explain the term cost of production.
4. State the meaning of abnormal gain.
5. State the meaning of angle of incidence.

(5x2=10)

PART: B

(Maximum Marks: 30)

II. Answer any five questions from the following. Each question carries 6 marks.

1. Explain the terms cost control and cost reduction.
2. List out various types of cost centres.
3. Calculate the value of prime cost from the following details.

Stock of raw materials as on 01.01.2009 Rs. 18,000

Stock of raw materials as on 31.03.2009 Rs. 21,000

Purchase of raw materials during the period Rs. 1,62,000

Paid for direct labour Rs. 28,000

Carriage paid on purchases Rs. 3000

Direct expenses Rs. 5000

4. Describe the features of contract costing.
5. Explain the term process account and provide a format of Process accounts.
6. State the marginal cost equation.
7. From the following information, calculate the break-even point in sales volume.

Profit Rs. 10,000 (25% of sales)

P/V ratio 50%

(5x6=30)

PART-C

(Maximum Marks:60)

(Answer one full question from each Unit. Each full question carries 15 marks)

UNIT -1

- III. State the classification of cost on the basis of elements and variability. 15

OR

- IV. List out the advantages of cost accounting. 15

UNIT – II

- V.Explain the term cost sheet. State its importance. Give a specimen of cost sheet.15

OR

- VI. M/s Anu and Sons receive an enquiry from M/s Binu and Company for the supply of 1,000 Toy Pianos and ask to quote the price at which it can be supplied. The estimated cost data is given below:

Direct Materials Rs.30,000

Direct labour Rs.20,000

Direct expenses Rs. 8,000

Factory overhead 60% of direct labour

Administrative overhead 20% of works cost.

Selling and distribution overheads at 10% of work cost.

The company intends to charge a profit of 20% on the cost of goods sold.

You are required to prepare a statement showing the price to be quoted by M/s Anu and Sons.

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UNIT – III

VII. (a) Explain process losses.

8

(b) List out the advantages and disadvantages of process cost accounting.

OR

VIII. The finished product of a factory has to pass through three processes A, B and C. The normal wastage of each process is 2% in A, 5% in B and 10% in C. The percentage of waste is computed on the number of units entering each process.

The scrap value of wastages of Processes A, B and C are Rs. 10, Rs. 40 and Rs. 20 per 100 units respectively. The output of each process is transferred to the next process and the finished products are transferred from Process C into stock. The following further information is obtained:

Element of cost	Process A	Process B	Process C
	Rs.	Rs.	Rs.
Direct Material	12,000	4,000	4,000
Direct Labour	8,000	6,000	6,000
Manufacturing Expenses	2,000	4,000	2,000

20,000 units were put into Process A at a cost of Rs. 16,000. The output of each process has been A: 19,600 units, B: 18,400 units and C: 16,700 units. There was no stock of work-in-progress in any process. Prepare the relevant accounts.

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UNIT - IV

IX. (a) Explain break-even analysis and its assumptions.

8

(b) Explain the uses of break-even charts.

7

OR

X. The following relate to a concern for two successive periods.

Years	Sales (Rs.)	Profit (Rs.)
2014	3,00,000	40,000
2015	4,00,000	80,000

Calculate (i) P/V ratio (ii) Profit at a sale of Rs. 5,00,000 and

(iii) Sales to earn a profit of Rs. 60,000

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